Configuring Statutory Payments (UK)

User Guide

CoreHR Limited Distribution

Payroll

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Document Control

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1. Overview

1.1. Purpose of the Guide

The purpose of this document is to provide guidance on how to configure Payroll to manage statutory payments.

1.2. What are Statutory Payments?

Statutory payments are payments that are made to employees to cover earnings lost when they are absent from work either through illness or because they are becoming a parent.

Payments covered include:

- Statutory Maternity Pay (SMP)
- Statutory Paternity Pay (SPP)
- Additional Statutory Paternity Pay (ASPP)
- Ordinary Statutory Sick Pay (OSSP)
- Adoption Pay (SAP)
- Shared Parental Leave
- Redundancy

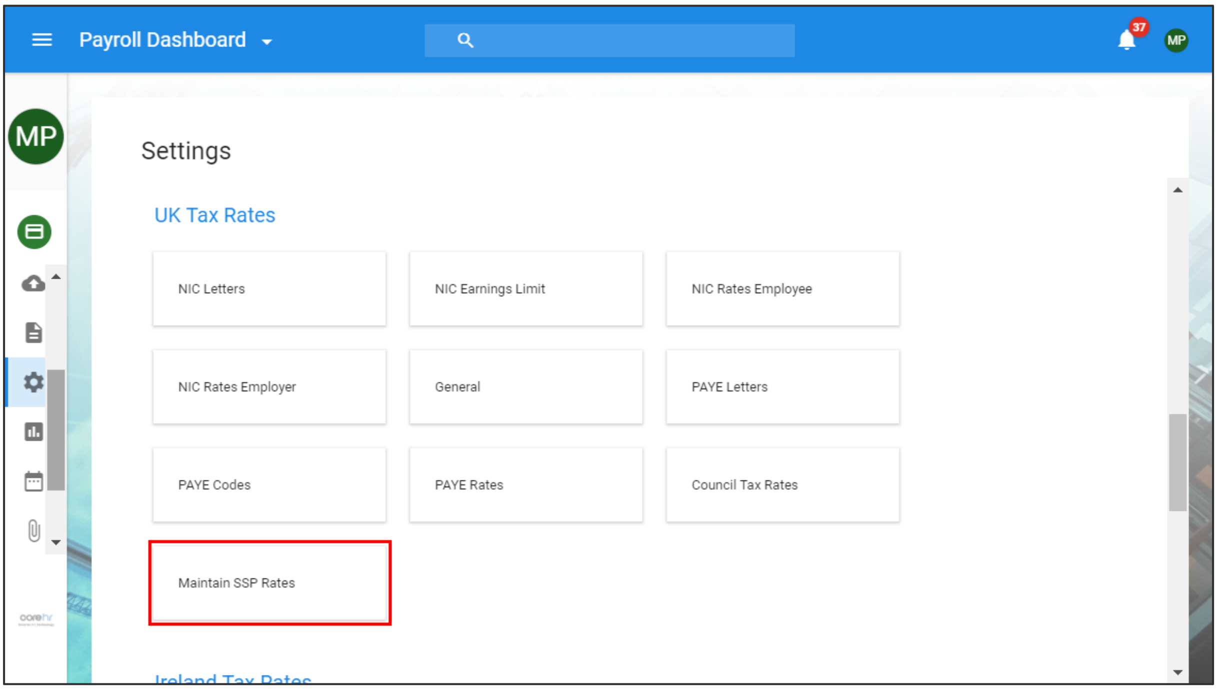
2. Configure Statutory Sick Pay (SSP) Rates

2.1. Provide Access to Maintain Statutory Configuration

2.1.1. Access to Maintain Statutory on the Settings Tab

The following menu option is required for an employee to access the *Maintain SSP Rates* screens from the Settings tab.

System	Menu Option
CorePortal Pay	Settings - Maintain SSP Rate



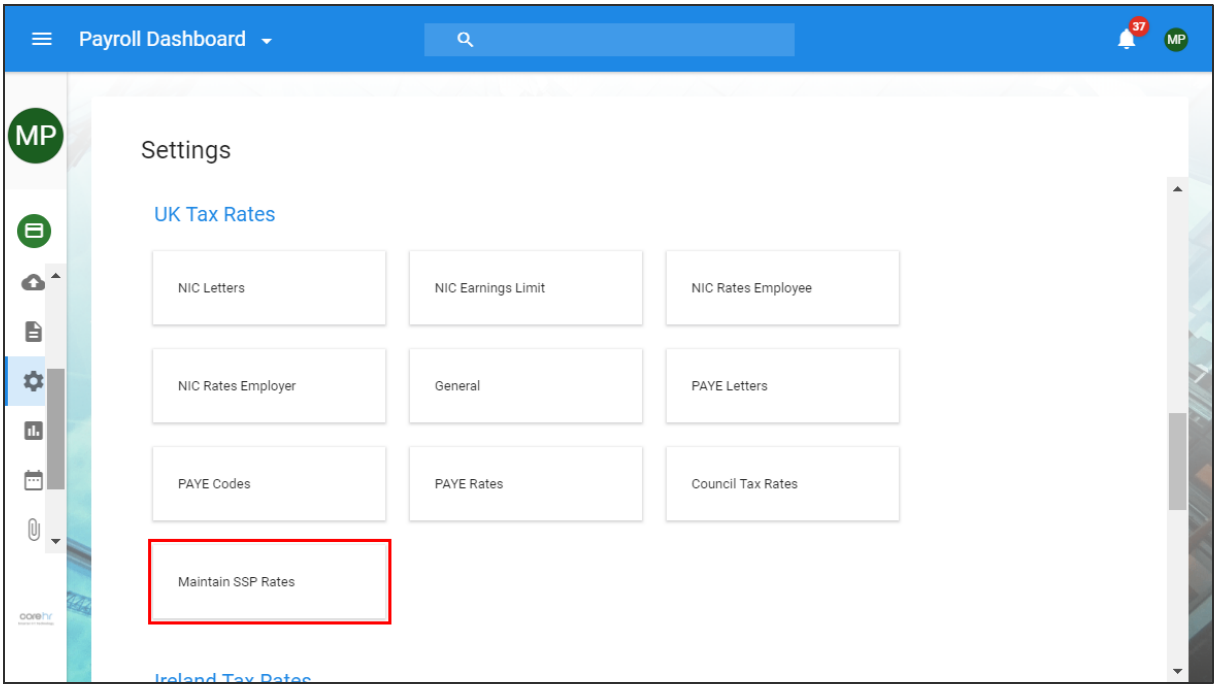
Status	Impact
Enabled	The user will have full view and edit access to the *Maintain Statutory* screen.

Disabled	The user can still access the screen, but a 'You do not have access to this screen' message will be displayed.

2.2. Configure the SSP Rates

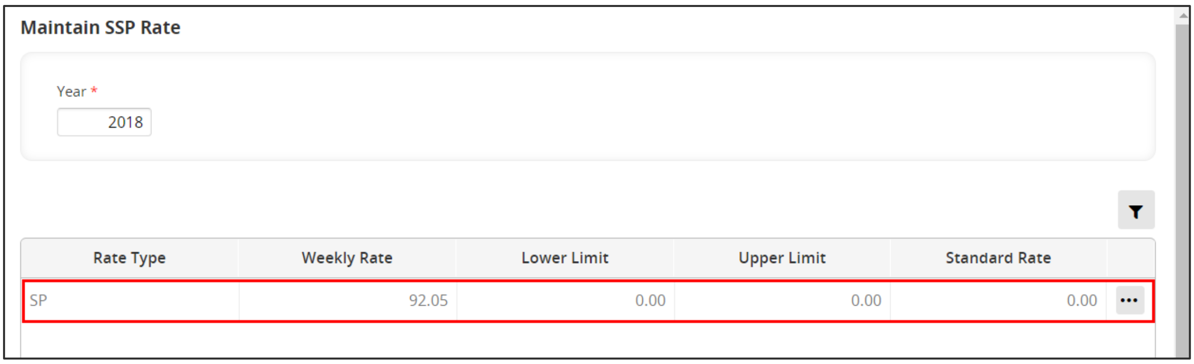
As part of the year end software delivery, the new SSP rates are preconfigured in Payroll. Follow these steps to view the rates loaded by CoreHR.

1. Go to *Settings* > *UK Tax Rates* > *Maintain SSP Rates*

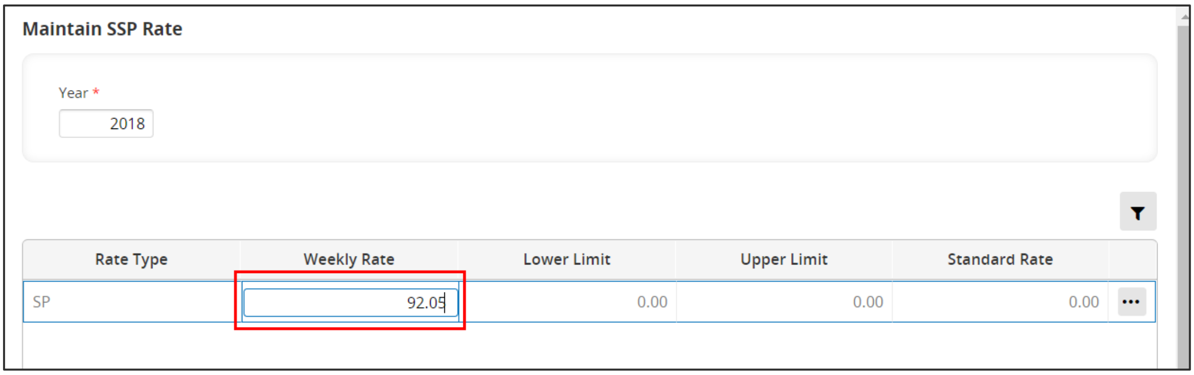


2. Type the year and press enter / tab.

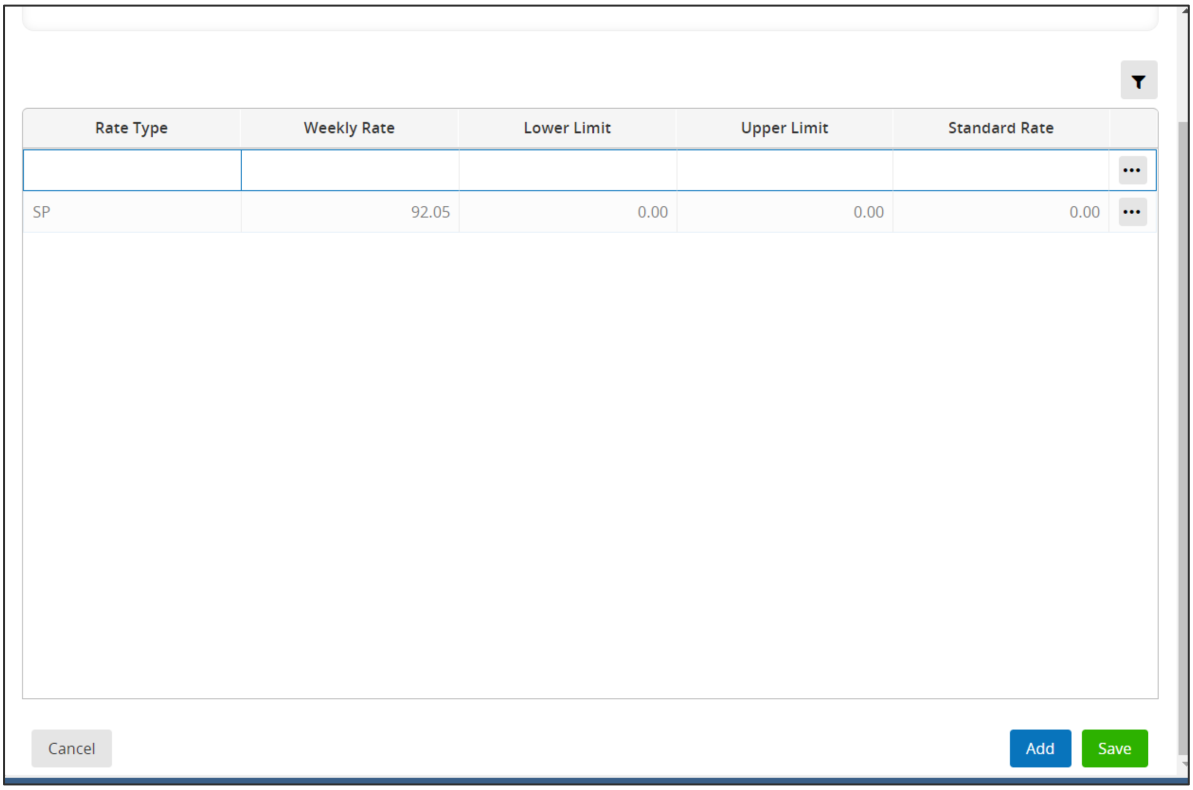
   The rates are populated.



3. To edit the rate (if required), click the field to be edited and type the new data.



4. Click the blue **Add** button to add a new rate (Optional). This opens a blank row



5. Add a rate type (Max 2 characters).
6. Add the relevant details in Weekly Rate, Lower Limit, Upper Limit and Standard Rate as required.
7. Click the green **Save** button.

3. Configure Statutory Pay Parameters

This section will provide guidance on how to configure the statutory pay parameters for each of the following types of statutory pay:

- SMP (Statutory Maternity Pay)
- SPP (Statutory Paternity Pay)
- SAP (Adoption Pay)
- Shared Parental Leave
- Redundancy

All parameters are available to configure on the same screen. Go to:

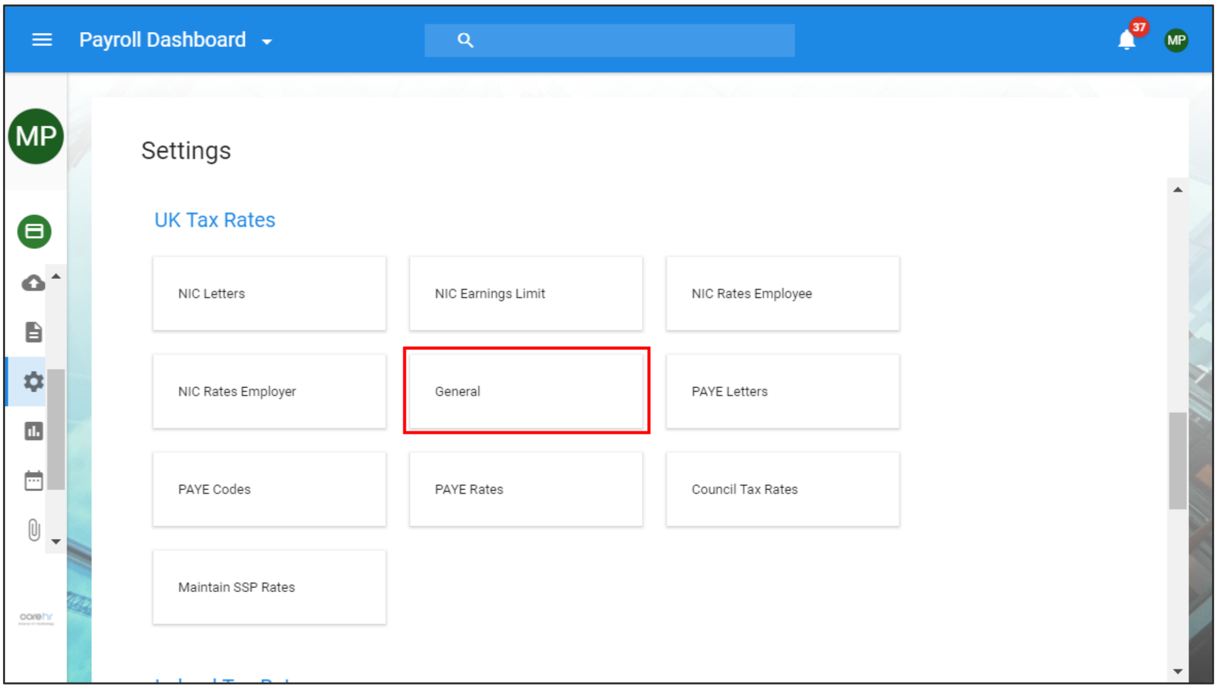
Settings > UK Tax Rates > General

3.1. Provide Access to General Configuration

3.1.1. Access to General on the Settings Tab

The following menu option is required for an employee to access the *General* option from the *Settings* tab.

System	Menu Option
CorePortal Pay	Settings - General



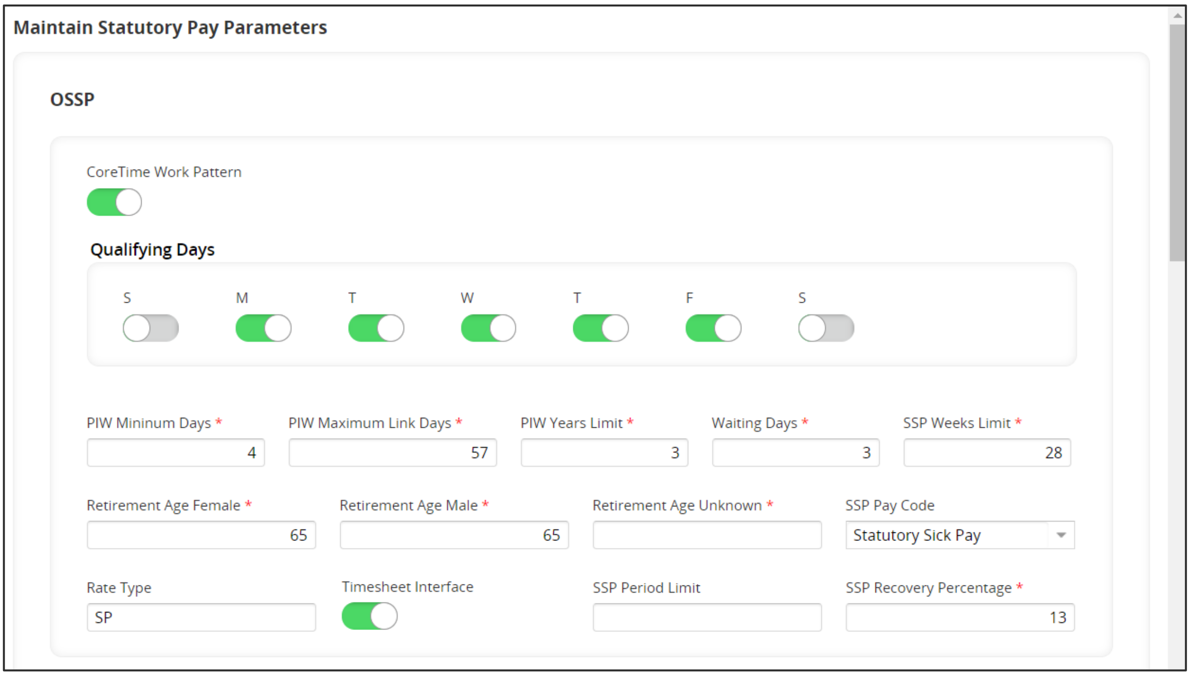
Status	Impact
Enabled	The user will have full view and edit access to the *General* screen.
Disabled	The user can still access the screen, but a 'You do not have access to this screen' message will be displayed.

3.2. Configure Ordinary Statutory Parental Pay (OSSP)

On the *General* screen, add / update the relevant fields in relation to OSSP. Mandatory fields are marked with a red asterisk.

Note:

The following data is not updated as part of the software delivery as this screen is not linked to an effective date. If there has been changes made to any of these rates / data, they will need to be amended here.



Field	Description
CoreTime Work Pattern	Enable this indicator if the employees CoreTime work pattern should override the OSSP qualifying days.
Qualifying Days	Enable each relevant day of the week to qualify for OSSP.
PIW Minimum Days	Enter a value for the Period of Incapacity for Work (PIW) minimum days. This is the minimum number of days of absence from work that must be reached before an employee will be considered for SSP. They do not have to be qualifying days. Anything less than four days of absence will be ignored for SSP purposes
PIW Maximum Link Days	Enter a value for the Period of Incapacity for Work (PIW) maximum link days. If two or more PIWs are separated by 56 days or less, they can be linked for SSP purposes. If this was the case, the employee would not have to serve his/her waiting days if they have already been served as part of a previous linked PIW within 56 days. If PIWs are separated by more than 56 days, they cannot be linked for SSP purposes.
PIW Years Limit	Enter a value for the Period of Incapacity for Work (PIW) years limit.

Field	Description
SSP Weeks Limit	Enter a value for the SSP weeks limit. This field indicates the max number of weeks that SSP can be paid for. SSP cannot be paid for longer than 28 weeks on any PIW. The payments should stop after 28 weeks. If the legislation changes and it requires SSP to be paid for a max of 30 weeks, the user would change the value in this field to 30.
Retirement Age Female	Enter a valid retirement age for females.
Retirement Age Male	Enter a valid retirement age for males.
Retirement Age Unknown	Enter a valid retirement age for employees where no gender is provided.
SSP Pay Code	Select the relevant OSSP pay code from the drop-down menu or enter a valid OSSP Code.
Rate Type	The Rate Type of SP has been preconfigured as part of software delivery.
Timesheet Interface	Enable this indicator if using external interface for timesheets.
SSP Period Limit	Enter the number of payroll periods prior to the current period to be used for calculating OSSP. If left blank, only the current period will be used.
SSP Recovery Percentage	SSP can no longer be recovered.

3.3. Configure Statutory Maternity Pay (SMP)

On the General screen, add / update the relevant fields in relation to SMP. Mandatory fields are marked with a red asterisk.

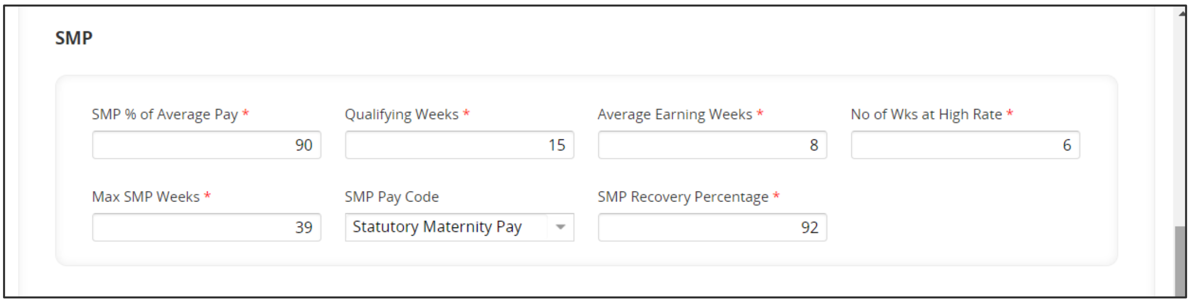
An employee who is expecting a baby has the right to 26 weeks of 'Ordinary Maternity Leave' and 26 weeks 'Additional Maternity Leave' - making one year in total.

You have to pay them SMP if the employee meets the following conditions. They must have:

- worked for you continuously - full or part-time - for at least 26 weeks up to and into the 15th week (known as the Qualifying Week) before the week the baby's due

- average earnings at least equal to the lower earnings limit for NICs, £118.00 a week for 2019/20, in the relevant period up to the Qualifying Week
- given you the right paperwork confirming the pregnancy and sufficient notice of when they would like the SMP payments to start

SMP will be paid for 39 weeks. SMP weeks always run from Sunday to Saturday.



Field	Description
SMP % of Average Pay	Enter a valid percentage value for average pay. First 6 weeks - 90% of average weekly earnings with no upper limit.
Qualifying Weeks	Enter the number of weeks to qualify for SMP. The Employee must have worked for you continuously - full or part-time - for at least 26 weeks up to and into the 15th week (known as the Qualifying Week) before the week the baby's due.
Average Earnings Weeks	Enter a value for the Average Earnings Weeks. To qualify for SMP, an employee must have average weekly earnings of at least the NIC LEL amount, £118.00, in the 8 weeks before the Qualifying Week.
No of Wks at High Rate	Enter a value for the number of weeks at the high rate. First 6 weeks - 90% of average weekly earnings with no upper limit.
Max SMP Weeks	Enter a value for the maximum SMP weeks. SMP will be paid for 39 weeks.
SMP Pay Code	Select a relevant SMP pay code from the drop-down menu or type an SMP code.
SMP Recovery Percentage	Enter a value for the recovery percentage for SMP. All employers are entitled to recover 92% of SMP they pay, however, if the

Field	Description
	employer qualifies for Small Employers Relief, where the total NIC in the qualifying tax year was under £45,000, they can recover 100% of SMP paid plus an additional 3% in compensation for the employer's share of NIC due on these payments.

3.4. Configure Statutory Paternity Pay (SPP)

On the General screen, add / update the relevant fields in relation to SPP. Mandatory fields are marked with a red asterisk. Your employee may be entitled to Statutory Paternity Pay (Adoption) if their spouse or partner adopts a child. This replaces their normal earnings and helps them take time off to care for the child.

Whether you have to pay them SPP (Adoption) depends on how long they have worked for you, how much they earn, and the date of adoption. They will also have to provide you with a declaration of family commitment and give you notice of when they want you to start paying their SPP (Adoption).

Payments of SPP count as earnings and you must deduct tax and National Insurance from SPP in the usual way.

You'll normally be able to recover some or all of the SPP (Adoption).

Field	Description
SPP Pay Code	Select an SPP pay code from the drop-down menu or type an SSP pay code.
Max SPP Weeks	Enter a value for the maximum SPP weeks. For the tax year 2019/20, SPP is paid for one or two consecutive whole weeks at the

	lower of £148.68 per week or 90% of the employee's average weekly earnings
SPP Recovery Percentage	Enter a value for the recovery percentage for SPP. All employers are entitled to recover 92% of SPP (Adoption) they pay, however, if the employer qualifies for Small Employers Relief, where the total NIC in the qualifying tax year was under £45,000, they can recover 100% of SPP paid plus an additional 3% in compensation for the employer's share of NIC due on these payments.
SPP Entitlement Cut Off	Enter the number of days before which the employee must avail of their SPP entitlement.

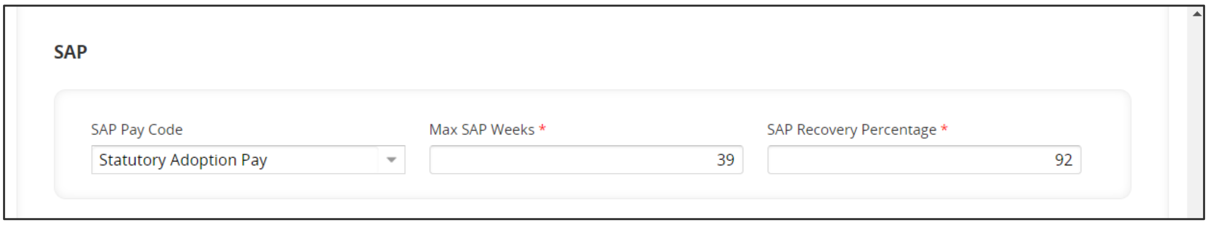
3.5. Configure Statutory Adoption Pay (SAP)

On the *General* screen, add / update the relevant fields in relation to SAP. Mandatory fields are marked with a red asterisk.

Your employee may be entitled to Statutory Adoption Pay (SAP) if they adopt a child. It replaces their normal earnings to help them take time off around the time that the child is placed with them. Whether you will have to pay them, SAP depends on how long they have worked for you, how much they earn, and when the child was matched for adoption. They will also have to provide you with evidence of matching and give you notice of when they want you to start paying their SAP.

Payments of SAP count as earnings and you must deduct tax and National Insurance from SPP in the usual way.

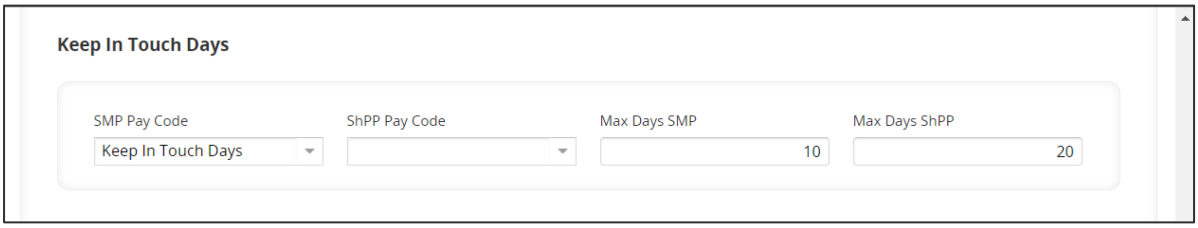
You will normally be able to recover some or all of the amounts you have to pay out as SAP.



Field	Description
SAP Pay Code	Select an SAP pay code from the drop-down menu or type an SAP pay code.
Max SAP Weeks	Enter a value for the maximum SAP weeks. The Adopter is entitled to 52 weeks of statutory adoption leave. SAP is payable for 39 weeks.
SAP Recovery Percentage	Enter a value for the recovery percentage for SAP.All employers are entitled to recover 92% of SAP they pay, however if the employer qualifies for Small Employers Relief, where the total NIC in the qualifying tax year was under £45,000, they can recover 100% of SAP paid plus an additional 3% in compensation for the employer's share of NIC due on these payments.

3.6. Configure Keep In Touch Days

On the *General* screen, add / update the relevant fields in relation to Keep In Touch Days. Mandatory fields are marked with a red asterisk.

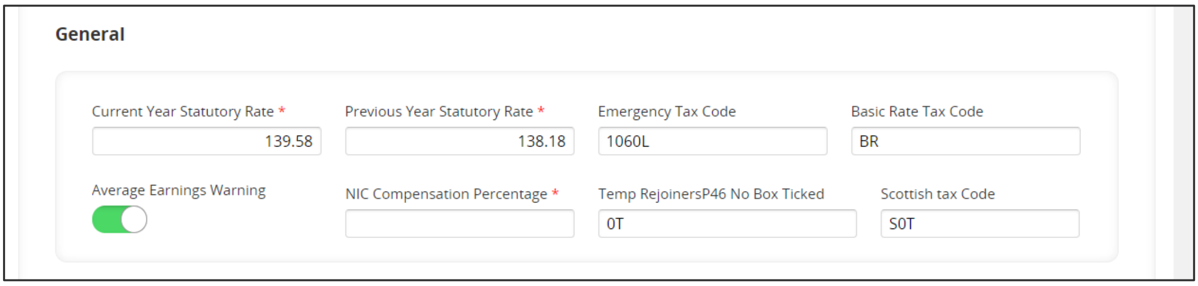


Field	Description
SMP Pay Code	Select an SMP pay code from the drop-down menu or type an SAP pay code. This is used for calculating Keep In Touch days for SMP. A daily allowance pay code needs to be set up with a multiplier of zero. Every time a female employee comes into work during a 39-week maternity leave, she is given a timesheet entry using this daily pay code. If she comes in more than 10 days, the system will

	hold one week SMP entitlement and continue paying SMP as normal the following week.
ShPP Pay Code	Select an ShPP pay code from the drop-down menu or type an ShPP pay code. This is used for calculating Keep In Touch days for ShPP.
Max Days SMP	Enter the maximum number of Keep In Touch Days before the employee loses SMP or SAP entitlement. This specifies the max amount of days that a female employee can come into work during her SMP period without losing one week of SMP entitlement.
Max Days ShPP	Enter the maximum number of Keep In Touch Days before the employee loses ShPP entitlement.

3.7. Configure Other Statutory Pay Parameters

On the *General* screen, add / update the relevant fields in the *General* section. Mandatory fields are marked with a red asterisk.

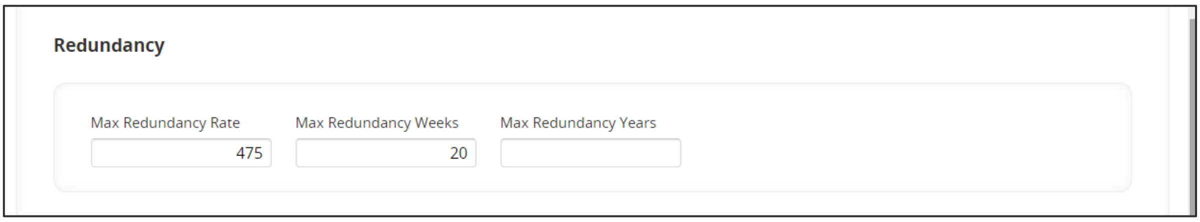


Field	Description
Current Year Statutory Rate	Enter the current year's statutory rate.
Previous Year Statutory Rate	Enter the previous year's statutory rate.
Emergency Tax Code	Enter the default emergency tax code. This must be checked at the start of each year as this can be changed by Inland Revenue.

Field	Description
Basic Rate Tax Code	Enter the default basic rate tax code. This must be checked at the start of each year as this can be changed by Inland Revenue.
Average Earnings Warning	Enable this indicator to pay SSP when an employee's earnings are lower than the lower earnings limit.
NIC Compensation Percentage	Enter the relevant NIC compensation percentage as per the P32 requirement.
Temp Rejoiners P46 No Box Ticked	Enter the tax code to be used for paying leavers who are temporarily re-joined or who have no box ticked on the P46 screen, e.g. 'OT'.
Scottish Tax Code	Enter the tax code to be used for paying leavers who are temporarily re-joined or who have no box ticked on the P46 screen, e.g. 'SOT'.

3.8. Configure Redundancy

On the *General* screen, add / update the relevant fields in the *Redundancy* section.

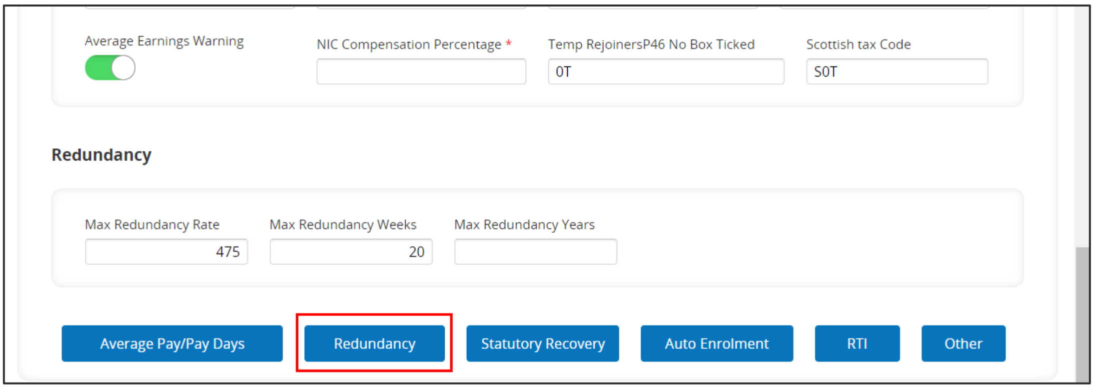


Status	Impact
Max Redundancy Rate	Enter a value for the maximum weekly redundancy rate.
Max Redundancy Weeks	Enter a value for the maximum number of weeks redundancy an employee is entitled to.
Max Redundancy Years	Enter the number of years to cap redundancy calculations.

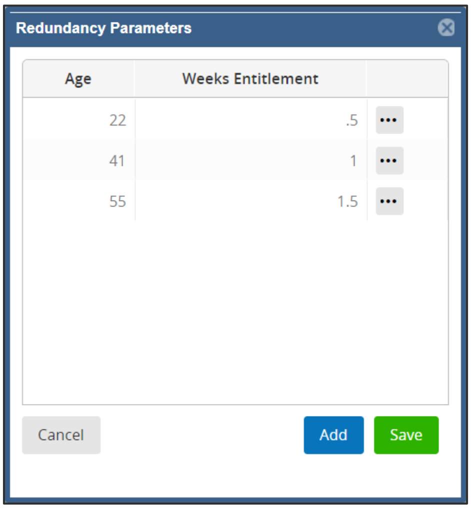
3.8.1. Configure Redundancy Parameters

Follow these steps to set the redundancy weeks entitlement by age range.

1. Click the **Redundancy** button to open the *Redundancy Parameters* screen.

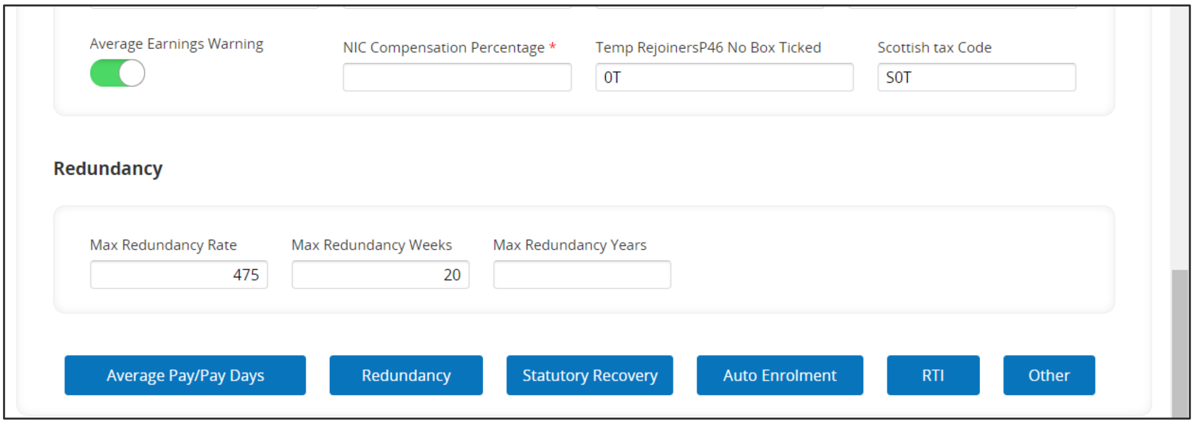


2. Click **Add**. This opens a new blank row.



3. Add an age.
4. Add the weekly entitlement for that age.
5. Repeat for the required many age ranges.
6. Click **Save.**

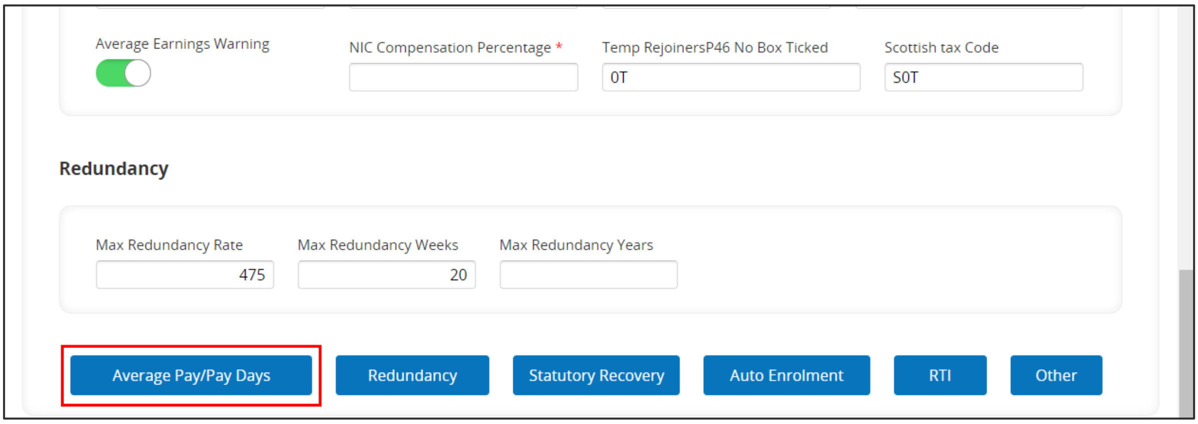
3.9. Configure Additional Statutory Parameters



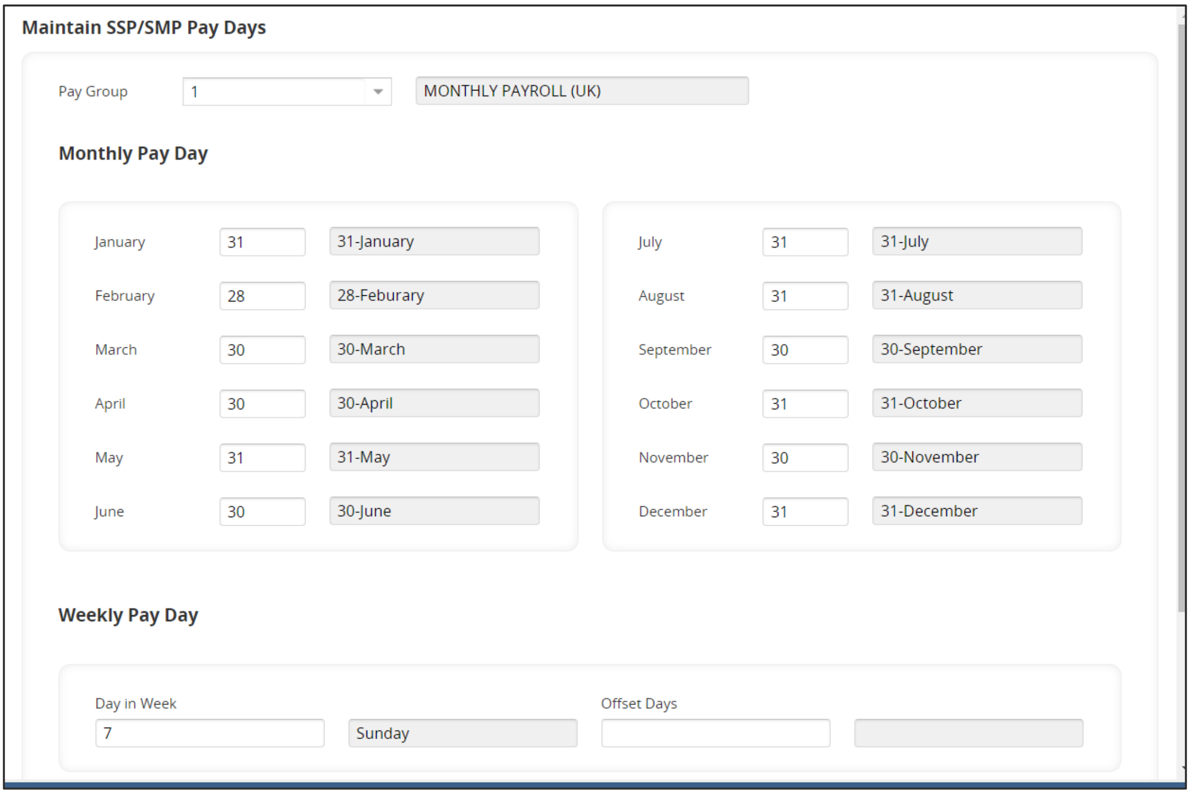
3.9.1. Average Pay / Pay Days

Follow these steps to set the monthly and weekly paydays for SSP and SMP by pay group.

1. Click the **Average Pay/Pay Days** button to open the *PAY3400A* screen.



2. Select a *Pay Group*.



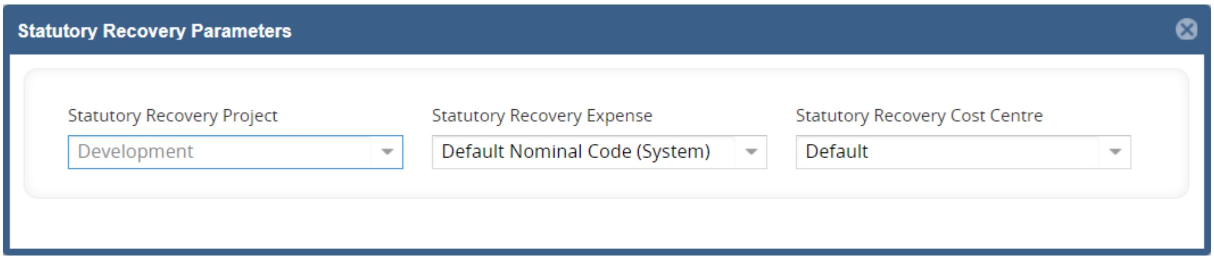
3. Enter or overwrite the data as required.
4. Click **Save.**

3.9.2. Configure Statutory Recovery Parameters

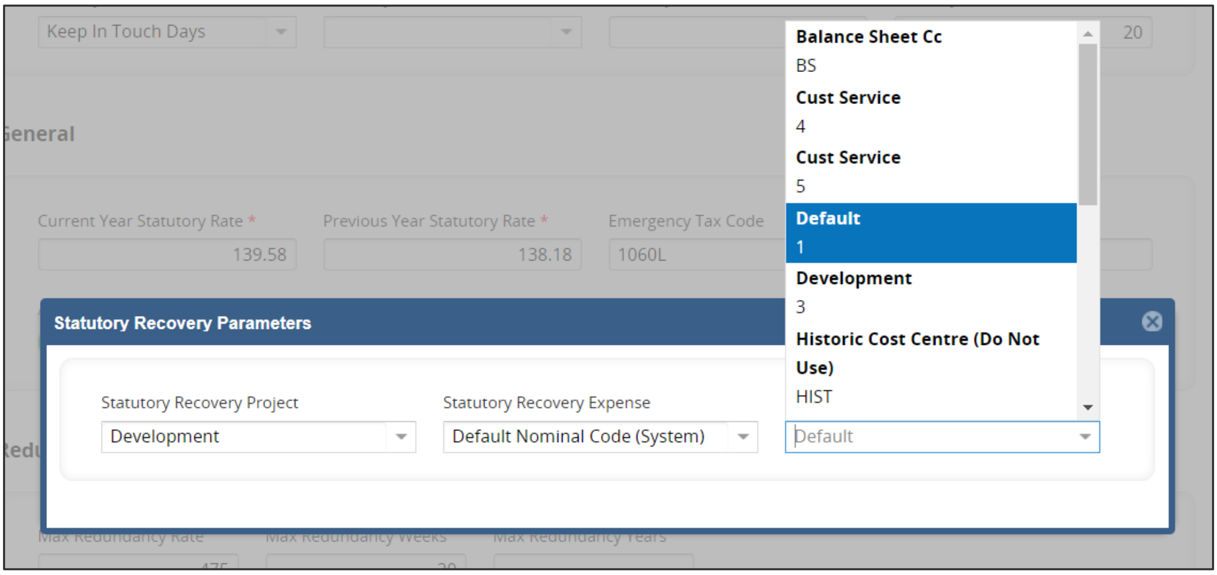
Follow these steps to set the parameters for the following:

- The *Project Code* to be set against Statutory Recovery.
- The *Expense Code* to be set against Statutory Recovery.
- The *Cost Centre Code* to be set against Statutory Recovery.

1. Click the **Statutory Recovery** button to open the *Statutory Recovery Parameters* screen.



2. Select the relevant option from each or any of the 3 drop-down menus, if applicable.



3. Once completed, close this screen and click **Save** on the main General screen.